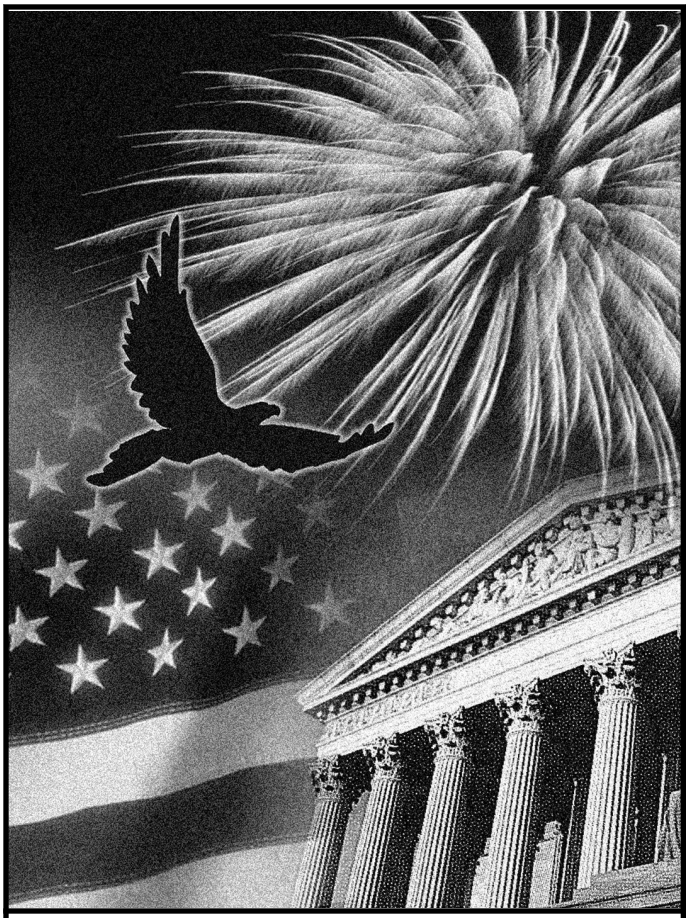
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Household Employer's Tax Guide

For use in **2013**



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Future Developments

For the latest information about developments related to Publication 926, such as legislation enacted after it was published, go to *www.irs.gov/pub926*.

What's New

Social security and Medicare tax for 2013. The employee tax rate for social security is 6.2%. Previously, the employee tax rate for social security was 4.2%. The employer tax rate for social security remains unchanged at 6.2%. The social security wage base limit is $113,700.

Employers should implement the 6.2% employee social security tax rate as soon as possible, but not later than February 15, 2013. After implementing the new 6.2% rate, employers should make an adjustment in a subsequent pay period to correct any underwithholding of social security tax as soon as possible, but not later than March 31, 2013.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2012. There is no wage base limit for Medicare tax. Social security and Medicare taxes apply to the wages of household employees you pay $1,800 or more in cash or an equivalent form of compensation.

Jan 14, 2013

required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		**THEN you need to ...**
A–	Pay cash wages of $1,800 or more in 2013 to any one household employee. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2013 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%[1]. (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B–	Pay total cash wages of $1,000 or more in any calendar quarter of 2012 or 2013 to household employees. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee are not taxed. • You also may owe state unemployment tax.
[1]In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You are required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.		
Note. If neither A nor B above applies, you do not need to pay any federal employment taxes. But you may still need to pay state employment taxes.		

Table 2. **Household Employer's Checklist**

You may need to do the following things when you have a household employee.

When you hire a household employee:	☐ Find out if the person can legally work in the United States. ☐ Find out if you need to pay state taxes.
When you pay your household employee:	☐ Withhold social security and Medicare taxes. ☐ Withhold federal income tax. ☐ Decide how you will make tax payments. ☐ Keep records.
By January 31, 2014:	☐ Get an employer identification number (EIN). ☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement.
By February 28, 2014 (March 31, 2014, if you file Form W-2 electronically):	☐ Send Copy A of Form W-2 to the Social Security Administration (SSA).
By April 15, 2014:	☐ File Schedule H (Form 1040), Household Employment Taxes, with your 2013 federal income tax return (Form 1040, 1040NR, 1040-SS, or Form 1041). If you do not have to file a return, file Schedule H by itself.